1.16. Cars: increasing the diesel supplement

As announced at Autumn Budget 2017, the government will legislate in Finance Bill 2017-18 to increase the diesel supplement, from 3% to 4%. The diesel supplement is used to calculate company car tax and car fuel benefit charge, where the employer provides the employee with a diesel car that is made available for private use. This will apply to all diesel cars registered on and after 1 January 1998 that do not meet the Real Driving Emissions Step 2 (RDE2) standards. This has the effect of increasing the level of the taxable benefit for diesel cars, which produce a higher level of harmful particulates such as nitrous oxide, and is intended to have a positive impact on air quality. There is no change to the current position that the diesel supplement does not apply to hybrid cars. The change will have effect on and after 6 April 2018. A tax information and impact note is published at Annex B.

1.17. Company car tax and Vehicle Excise Duty: carbon dioxide emission regime

As announced at Autumn Budget 2017, the government will legislate in Finance Bill 2017-18 to confirm that carbon dioxide figures compatible with the current New European Driving Cycle (NEDC) test procedure will be used by HMRC for the purposes of collecting company car tax until April 2020. A tax information and impact note is published at Annex B.

The government will however also take forward legislation in a future Finance Bill that will change the system for measuring carbon dioxide emissions to the Worldwide Harmonised Light Vehicle Test Procedure (WLTP) from April 2020. Similar legislation will be introduced in respect of Vehicle Excise Duty.

Pensions Tax

1.18. Master trust tax registration

As announced at Spring Budget 2017, the government will legislate in Finance Bill 2017-18 to introduce HMRC powers to register and de-register master trust pension schemes and schemes for dormant companies. Draft legislation and a tax information and impact note were published on 13 September 2017. The legislation is unchanged following consultation. The changes will have effect on and after 6 April 2018.

1.19. Lifetime allowance: ongoing Consumer Prices Index increase

As announced at March Budget 2015 and confirmed at Summer Budget 2015 and Autumn Budget 2017, the lifetime allowance for pension savings will increase in line with the Consumer Prices Index, rising to £1,030,000 for the tax year 2018 to 2019.